Q4 Demand Outlook and Warehouse Capacity Report

1. Executive Summary

Demand is expected to rise 18% in Q4 versus Q3 driven by the holiday season and a planned promotion on Wireless Sensors and Shipping Boxes in November. Planners should build stock ahead of the promotion, especially for items with long supplier lead times.

2. Demand Forecast by Category

Category	Q3 Actual Units	Q4 Forecast Units	Change
Electronics	4,200	5,300	+26%
Fasteners	9,800	10,600	+8%
Packaging	6,100	7,500	+23%
Components	3,500	3,800	+9%

3. Warehouse Capacity

Total warehouse capacity is 12,000 pallet positions. Utilisation is currently 78%. During the November promotion we expect utilisation to peak at 92%; above 90% productivity drops and overflow storage costs USD 8 per pallet per week.

Zone	Pallet Positions	Current Utilisation
Bulk Storage	6,000	81%
Racked Storage	4,000	74%
Cold / Sensitive	1,000	69%
Overflow	1,000	0%

4. Key Risks

1) Delta Electronics' 28-day lead time and 84% on-time rate put electronics promotion stock at risk. 2) Port congestion may add 5 to 7 days to inbound ocean freight. 3) Promotion overlap may exhaust capacity in the Bulk Storage zone.